5.
Balance sheet

Balance sheet overview

Are Media had reported net assets of $76.7 million at May-25, reflecting primarily $77.2 million of intangible assets (i.e. mastheads and goodwill) and $15.9 million of net cash, partly offset by $(23.4) million of net working capital. The reduction in net assets over the historical period is mainly attributable to a $15.0 million share buyback in Sept-24.

Summary transactional balance sheet

$000		Dec-23	Dec-24	May-25
Net working capital				
Trade and other receivables	1	12,944	11,100	9,165
Contract assets	2	2,477	2,187	9,020
Prepayments and other current assets	3	4,452	4,599	8,730
Inventories	4	14,716	11,241	3,155
Provisions - current	5	(380)	(345)	(223)
Refund liabilities	6	(1,287)	(909)	(571)
Employee benefits	7	(11,711)	(10,514)	(10,051)
Contract liabilities	8	(14,673)	(10,692)	(15,731)
Trade and other payables	9	(29,320)	(31,816)	(26,907)
Total net working capital		**(22,782)**	**(25,150)**	**(23,412)**
Net cash / (debt)				
Cash and cash equivalents	10	27,842	18,484	13,620
Income tax	11	1,059	1,643	2,292
Intercompany	12	(3)	(4)	(5)
Total net cash / (debt)		**28,898**	**20,122**	**15,907**
Fixed assets & other				
Goodwill	13	46,418	46,418	46,418
Intangible assets	14	35,079	31,142	30,824
Deferred tax assets	15	5,939	6,323	6,339
Property, plant and equipment	16	3,320	1,871	1,785
Provisions - non current	17	(1,738)	(1,503)	(1,503)
Investments	18	790	1,016	1,016
Net ROU liability	19	(269)	(645)	(646)
Total fixed assets & other		**89,539**	**84,622**	**84,234**
Net assets		**95,655**	**79,595**	**76,729**

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

Balance sheet – basis of preparation

The balance sheet presented opposite represents the Group consolidated balance sheet and reconciles to the audited financial statements as at Dec-23 and Dec-24, refer to the Appendices for a detailed reconciliation to statutory accounts. As noted in the Basis of preparation in the Executive Summary;

i. The Group typically prepares consolidation eliminations at year-end only. However, for the purposes of this transaction and to ensure consistency across periods, Management has calculated material consolidation eliminations across all months from Jan-23 to May-25. See a breakdown in the Appendices. Certain individual line items are grossed up in months where statutory adjustments are not applied, however, these broadly offset each other at the total net working capital level, with Management confirming that the related P&L impact relates to statutory cut-off adjustments which are immaterial on a net basis.

ii. The Group prepare statutory adjustments at year-end only. Management did not seek to allocate statutory year-end adjustments across all other periods, and therefore, the reported net working capital position at Dec-23 and Dec-24 is not like-for-like with other months, which are not consistent with the statutory accounts. While some statutory adjustments reflects reclassifications between working capital balances and therefore have a net nil impact, others have a non-NWC component (e.g. offset in the P&L). We have sought to remove the net impact of these year-end adjustments as part of our Adjusted net working capital analysis in order to present a like-for-like monthly normalised net working capital profile at the total level.

iii. The balance sheet has not been adjusted for the discontinued brands on the basis of materiality and complexity of removing individual balances across all captions. We have presented for your consideration the associated working capital impact of Wheels Media and Hard to Find Pty Limited entities in the Adjusted net working capital analysis. Revenue and costs used in net working capital metrics (such as DIO, DPO and % of revenue) are therefore extracted from the Group reported P&L.

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Balance sheet overview

Balance sheet overview

Reported net working capital

1. ***Trade and other receivables:*** primarily comprised of amounts owing from retailers and advertisers, offset by recognition of a retail returns provision as retailers are initially invoiced and the debtors balances are recognised on a gross basis. See later in this section for details of top debtors and ageing analysis.
2. ***Contract assets:*** primarily captures the build-up of the accrued circulation revenue which arises in the management accounts given revenue recognition is in the month of issue as opposed to month of sale. This is adjusted at year-end under IFRS15, see revenue cut-off adjustment per statutory reconciliations in the Appendices. See a breakdown in the Appendices.
3. ***Prepayments and other current assets:*** largely relates to (i) deferred expenditure, which captures expenses incurred on magazines which have not yet been reported (therefore revenue not yet recognised under management accounts, this is adjusted in statutory adjustments at year-end); (ii) prepayments, primarily payroll clearing account and license costs; and (iii) corporate card clearing. See a breakdown in the Appendices.
4. ***Inventories:*** consists of raw material paper stock on hand and books finished goods. At year-end as part of the IFRS 15 statutory adjustment, magazine inventory is also recognised reflecting WIP issues and unsold issues in consignment stores (Coles and Woolworths). A provision for obsolete stock is maintained for each of the associated stock balances. Further information on inventory is presented later in this section.
5. ***Provisions - current:*** Are Media maintains a rebate provision for its arrangements with Coles, WH Smith and NewsLink. This also includes an accrual to adjust for any price discounts implemented as part of special offers (e.g. 3 magazines for $14) that would otherwise impact the retailers % commission. Retailers will receive commission as if these magazines were sold independently at full RRP as opposed to as components of a value package. This is accrued monthly.

Balance sheet overview

6. ***Refund liabilities:*** relates to the returns provision held for books and is adjusted each month based on the actual returns reported.
7. ***Employee benefits:*** comprises annual leave accruals, provision for long service leave and bonus accruals. Excess annual leave and the vested portion of the long service leave have been reclassified from net working capital to net debt. Bonuses are accrued monthly and are cleared at year-end, with no legacy unpaid balances rolling forward.
8. ***Contract liabilities:*** represents subscription deferred revenue for upfront cash received from subscription customers, which is then released to the P&L monthly and recognised in the reporting month of each issue. This also includes deferred income built up as a result of timing between the on-sale date and the reporting (issue) date. This is discussed further in contract liabilities.
9. ***Trade and other payables:*** primarily reflects general accruals, amounts owing to publishers and trade creditors. A breakdown of this balance by account types and details of creditor ageing is presented later in this section.

Net cash / (debt)

10. ***Cash and cash equivalents:*** $13.6 million of cash at May-25 is held across four major bank accounts with HSBC, denominated in AUD and NZD. Cash balances have been agreed to the May-25 primary bank statements. Management has confirmed that there is no restricted cash at May-25.
11. ***Income tax:*** the net income tax receivable for Are Media at May-25 reflects amounts to be recovered from the ATO and IRD driven by a timing differences between tax payments made and the final tax liability, which will be reconciled upon lodgement of the income tax return. Refer to the Taxation Due Diligence Report for further details.
12. ***Intercompany:*** intercompany transactions are eliminated at consolidation. The immaterial balance at May-25 relates to a tax balance owed to related party IC Are Media Group GP in relation to the share buy-back.

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Balance sheet overview

Balance sheet overview

Fixed assets and other

13. ***Goodwill:*** reflects goodwill relating to the acquisition of Are Direct (previously Ovato), as well as Pacific Magazines (magazine publisher of titles such as Better Homes & Gardens, New Idea, Who and Marie Claire), which was acquired by Bauer (previous owners) in April 2020. Goodwill is not amortised, rather tested annually for impairment. An impairment loss of $22.7 million was recognised during FY23, as Management revised down the present value of future cash flows (value in use) expected to be derived from the Australian cash-generating unit.
14. ***Intangible assets:*** includes (i) $17.8 million relating to recognition of mastheads, i.e. the net book value of the Group's acquired titles; (ii) $6.6 million of software intangibles; and (iii) $6.4 million of customer relationships acquired upon acquisition of Are Direct. As discussed in the executive summary, the Group has invested in its computer software and technology platforms over the historical period to support future growth. Key intangible capex spend is discussed later in the capex section. Software, mastheads and customer relationships are straight-line amortised over 3 years, 2 to 25 years, and 10 years, respectively.
15. ***Deferred tax assets:*** are recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Refer to tax due diligence report for further details.
16. ***Property, plant & equipment:*** mainly comprised of $0.7 million of leasehold improvements, $0.4 million computer hardware, and smaller balances related to office fittings, artwork and production equipment. Plant & equipment is straight-line depreciated over 6 – 7 years and leasehold improvements over 5 years. Key capex spend over the historical period is discussed further in the capex section.
17. ***Provisions – non-current***: comprise a number of general and specific non-current provisions, which are discussed in detail later in this section.

Balance sheet overview

Fixed assets and other (continued)

18. ***Investments:*** reflects investments held in listed shares (including NAB, WBC and ANZ).
19. ***Net ROU liability***: refers to leases for the Group's offices and warehouses as summarised in the Appendices, which are depreciated over the shorter of the lease term and their useful lives. IFRS16 is applied at year-end for the purposes of statutory reporting, with the right-of-use asset and related lease liabilities carried forward each month. Rent expenses are recognised on a cash basis through the P&L in management accounts.

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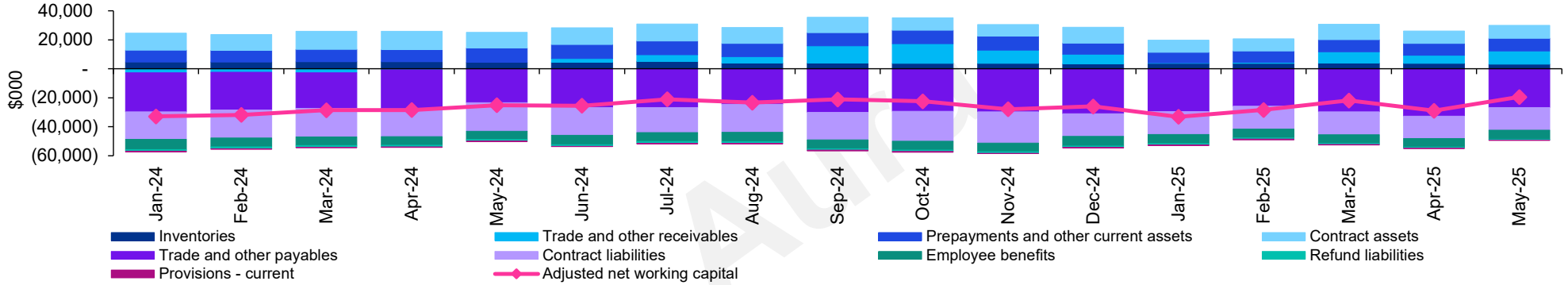
Net working capital – Overview

Are Media operates a negative working capital profile, reflective of significant accruals, publishers payables balances (Are Direct collects the full cash balances from retailers and remits this amount, net of distribution fees, to third party publishers) and deferred revenue from its subscriptions model. Monthly NWC levels are significantly influenced by the timing of receipts from retailers and subsequent payments to external publishers.

Adjusted net working capital - monthly



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD, 02.05.03 WIP – Jan 2023 to May 2025, 02.01.02.08 Consol Balance Sheet – Ex Dec adjustments – FY24; 02.06 Employee costs, KPMG analysis

Net working capital summary

	Reported		Adjusted	
$000	FY24	LTM25	FY24	LTM25
Average	(29,211)	(28,437)	(26,141)	(24,886)
Max	(24,353)	(23,412)	(20,989)	(19,409)
Max period	*Jul-24*	*May-25*	*Jul-24*	*May-25*
Min	(34,832)	(36,975)	(32,798)	(33,078)
Min Period	*Jan-24*	*Jan-25*	*Jan-24*	*Jan-25*
Range	10,478	13,562	11,809	13,669

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD, 02.05.03 WIP – Jan 2023 to May 2025, 02.01.02.08 Consol Balance Sheet – Ex Dec adjustments – FY24; 02.06 Employee costs, KPMG analysis

On an adjusted basis, LTM25 net working capital ranged from a low of $(33.1) million in Jan-25 to a high of $(19.4) million in May-25. May-25 is primarily driven by a reduction in publisher payables as payments on amounts outstanding were made to Zone Media ($2.4 million) and TLA ($0.7 million). Are Media distribute AFL and NRL cards on their behalf.

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Adjusted net working capital (1)

We have identified a number of potential adjustments to normalised net working capital as outlined below, which increase LTM25 average net working capital by $3.6 million to $(24.9) million. These adjustments fall into two categories, reclassifications from NWC into net (debt) / cash (i.e. vested long service leave) and other adjustments to present NWC on a basis consistent with the current operating model and other one-off items.

Adjusted net working capital

$000	Notes	As at Dec-24	As at May-25	Averages Dec-24	Averages LTM25
Reported net working capital		**(25,150)**	**(23,412)**	**(29,211)**	**(28,437)**
Reclassifications to net (debt) / cash					
Capex creditors	1	324	255	308	224
Excess annual leave	2	958	860	1,368	1,141
Vested long service leave	3	2,833	2,879	2,993	2,932
Reclassifications to net (debt) / cash		**4,114**	**3,994**	**4,669**	**4,297**
Other adjustments					
Employee benefits true-up	4	3	22	(546)	(224)
Statutory adjustments reversal	5	(4,984)	-	(415)	(415)
Paper inventory	6	-	-	257	257
Books inventory	7	85	(12)	(896)	(363)
Other adjustments		**(4,897)**	**10**	**(1,599)**	**(745)**
Adjusted NWC					
Trade and other receivables		6,542	9,165	3,641	6,346
Contract assets		10,989	9,020	10,885	9,740
Prepayments and other current assets		7,641	8,730	8,908	8,738
Inventories		3,481	3,143	4,395	3,927
Provisions - current		(345)	(223)	(369)	(351)
Refund liabilities		(909)	(571)	(1,117)	(914)
Employee benefits		(6,721)	(6,290)	(6,208)	(6,231)
Contract liabilities		(15,652)	(15,731)	(19,138)	(17,603)
Trade and other payables		(30,959)	(26,652)	(27,138)	(28,537)
Adjusted net working capital		**(25,932)**	**(19,409)**	**(26,141)**	**(24,886)**
KPIs					
Adjusted NWC as a % of LTM revenue		*10.5%*	*8.2%*	*10.0%*	*10.0%*
Other considerations					
Discontinued brands	8	317	3	797	373
Aged debtors	9	n.q	(157)	n.q	n.q
Long service leave under-provision	10	(337)	(337)	n.q	n.q

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD, 02.05.03 WIP – Jan 2023 to May 2025, 02.01.02.08 Consol Balance Sheet – Ex Dec adjustments – FY24; 02.06 Employee costs, KPMG analysis

Reclassifications to net working capital

1. **Capex creditors:** Management has performed a line-by-line review of the trade payable listings and has identified a number of payables related to material capital expenditure. From FY24 onwards, material spend includes $1.0 million from X-Company relating to Project Express (development of the AWW Food Website) and $0.9 million, $0.6 million and $0.4 million from Fusion 5, Allura Partners and Cubewise in relation to the Greenfield ERP D365 implementation. Given these amounts are capital in nature, they have been reclassified as a debt-like item.

2. ***Excess annual leave:*** excess annual leave over and above statutory obligations is considered debt-like in nature. Based on a 38-hour working week, the excess portion has been calculated on an employee-by-employee basis with reference to the following;

   i. *4 weeks excess annual leave:* for the majority of employees, other than the category captured in (ii) below, >4 weeks is considered excess. This equates to $0.5 million as at May-25 and has been reclassified from NWC as a debt-like item.

   ii. *6 weeks excess annual leave:* a number of employees (c. 205) are eligible for the Are Media Journalist Agreement ('AMJA') Award and as such, are entitled to 6 weeks of annual leave. As at May-25, $0.4 million is considered excess (greater than 6 weeks) for these specific employees and has been reclassified from NWC as a debt-like item.

3. **Vested long service leave:** Management has recognised in net working capital long service leave provisions which are a statutory obligation that requires companies to provide a certain number of weeks of leave (dependent on the state) to employees which have been employed for 10 years of service in NSW, SA, QLD and TAS and after 7 years in VIC, and on a discretionary basis in NZ. At May-25, $3.0 million of the reported long service leave liability was vested. Given this relates to services provided prior to completion, it is considered to be debt-like in nature.

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Adjusted net working capital (2)

Other adjustments

4. **Employee benefits true-up:** The long service leave and annual leave calculations were carried out half–yearly in FY24 and quarterly from FY25 onwards, however, the management account liabilities are not trued up based on these calculations until year-end. We have therefore sought to illustratively true up the net working capital to account for this temporary under/over provision during the historical period.

5. **Statutory adjustments reversal:** statutory adjustments are applied at year-end only. In order to present the monthly net working capital profile on a like-for-like basis, we have sought to reverse the impact of those statutory adjustments that are one-sided within NWC, so that the Dec-24 net position is in line with other months per the management accounts. This results in a net $4.9 million reduction to reported NWC in Dec-24 only. See Appendices for a walk-through of this reversal and the statutory adjustments applied at year-end.

   We recommend that the working capital for the purpose of completion is calculation on a management reporting (pre-statutory adjustments) basis so that the basis of preparation for completion net working capital aligns to the LTM normalised position.

Statutory adjustment reversal Dec-24

$000	Consolidated statutory reported NWC	Consolidated Management reported NWC	NWC adjustment
Trade and other receivables	11,100	6,542	(4,558)
Contract assets	2,187	10,989	8,803
Prepayments and other current assets	4,599	7,641	3,042
Inventories	11,241	3,397	(7,844)
Provisions - current	(345)	(345)	(0)
Refund liabilities	(909)	(909)	(0)
Employee benefits	(10,514)	(10,514)	-
Contract liabilities	(10,692)	(15,652)	(4,960)
Trade and other payables	(31,816)	(31,283)	533
Total net working capital	**(25,150)**	**(30,133)**	**(4,984)**

Source: 02.01.02.02 Management Accounts - Balance Sheet - FY24; 02.01.02.08 Consol Balance Sheet – Ex Dec adjustments – FY24

Other adjustments

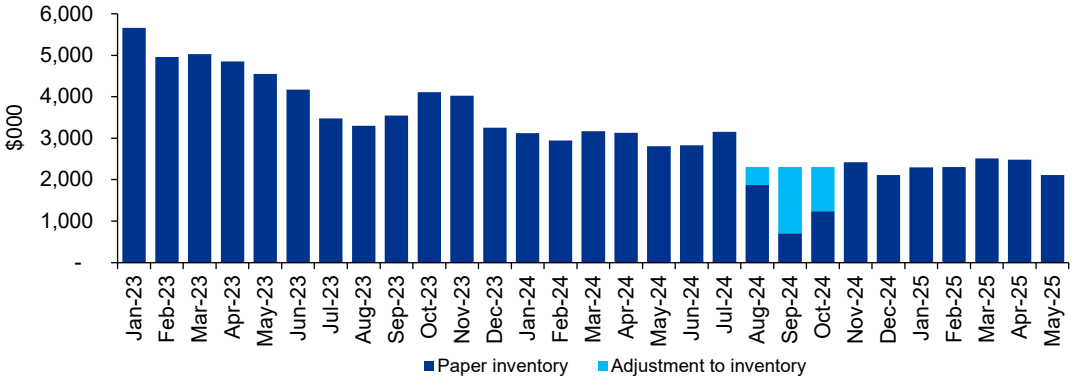
6. ***Paper inventory:*** the Group's internal WMS inventory system ('Oasis') tracks and monitors paper usage and stock balances and feeds into the Group's ERP system. The Group aims to hold c.8 weeks of paper stock on hand, however, during Sep-24 to Oct-24, temporary post-integration system issues arose when integrating Oasis with the new D365 system, which restricted visibility of paper levels. As such, paper levels depleted during this period to a low of $0.7 million in Sep-24. Post this period, inventory levels have rebounded and been held at c.8 weeks since Nov-24.

   This adjustment therefore seeks to normalise the temporary one-off reduction in paper inventory levels to align to L6M May-25 levels ($2.3 million).

Paper inventory normalisation

$000	Aug-24	Sep-24	Oct-24
Reported inventory	1,870	708	1,241
Adjustment to inventory	432	1,595	1,061
Adjusted inventory	**2,303**	**2,303**	**2,303**

Paper inventory normalisation



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; KPMG analysis

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Adjusted net working capital (3)

Other adjustments

7. ***Books inventory:*** as discussed in the Historical trading section, throughout the course of FY24, Are Media has strategically scaled back its Books division, as evidenced from the downward trend in inventory levels in the graph opposite.

   Books inventory, including the associated write-off provision, has therefore been normalised to be consistent with the L6M average to May-25, which Management believes better represents the go-forward position of the division.

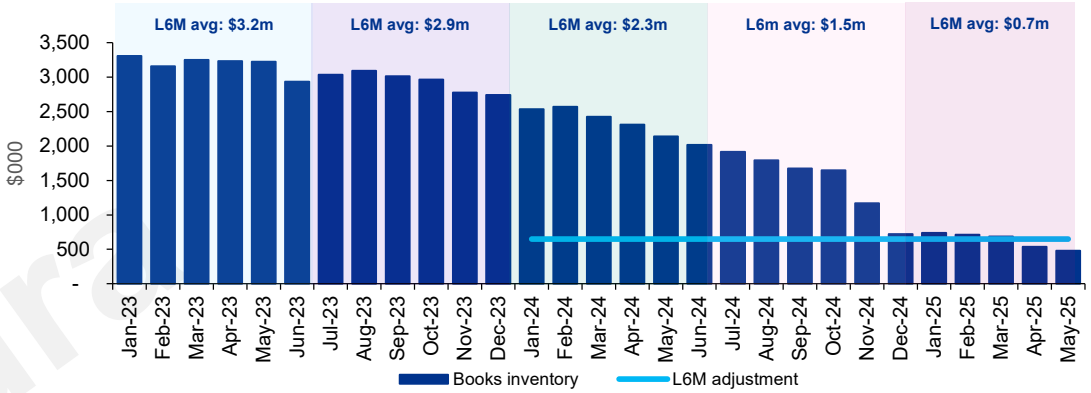
   In line with this approach, the corresponding debtors returns provision has also been normalised to the corresponding average L6M to May-25 levels.

Books inventory normalisation

$000	As at Dec-23	As at Dec-24	As at May-25	L6M average Dec-23	L6M average Dec-24	L6M average May-25
Books inventory						
Finished goods books retail	1,975	1,618	1,217	2,102	1,580	1,340
Finished goods books write-off provision	(248)	(904)	(529)	(291)	(523)	(636)
Books price variance	-	(68)	(173)	-	1	(114)
WIP Books	1,015	74	(34)	1,127	431	57
Other	(3)	1	0	(1)	(2)	1
Reported inventory	2,740	722	481	2,937	1,487	647
Adjustment to inventory		(75)	166		(840)	(0)
Adjusted inventory		**647**	**647**		**647**	**647**
Debtors returns provision						
Reported debtors returns provision	(1,287)	(909)	(571)	(1,228)	(1,045)	(749)
Adjustment to provision		159	(178)		296	0
Adjusted debtors returns provision		**(749)**	**(749)**		**(749)**	**(749)**

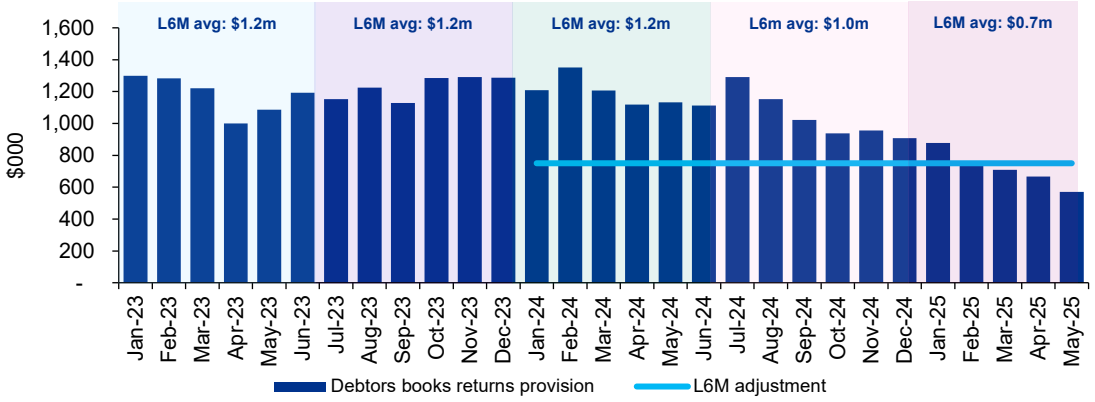
Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; KPMG analysis

Books inventory normalisation



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; KPMG analysis

Debtors' books returns provision normalisation



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; KPMG analysis

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Adjusted net working capital (4)

Other considerations

8. *Discontinued brands:*

i. *Wheels Media and Hard to Find Ltd:* as discussed in the Basis of preparation, Are Media strategically exited low margin brands and/or those which did not align with the strategic vision of the Group during the historical period. This includes brands held under the Wheels Media and Hard to Find Pty entities. The associated net working capital impact of these entities has been presented in the table opposite. See Appendices for a breakdown of Wheels Media and Hard to Find Pty Limited net working capital.

Management advised that there is an element of intercompany transactions between these and the continuing Group entities, however it is not possible to unpick the exact intercompany balances for every month. Given the immaterial quantum of the net impact and without availability of information to determine the intercompany impacts, we have not sought to strip these balances out of net working capital.

The Wheels Media entity has held a net GST liability of c.$10m over the LTM period which arose as Management recognises GST payables in each individual entity, however, GST payments are managed centrally and the related journals are posted within one entity only. Given Management reviews GST at a Group level, the c.$10m within the Wheels entity up to May-25 does not relate to Wheels specifically, and instead represents part of the wider net GST position for the operating Group. As such, this balance is retained in normalised NWC. At Jun-25 this balance was cleared from Wheels Media Pty Ltd and reallocated to another operating entity.

i. *Other discontinued brands:* we have not sought to quantify the net working capital impact of other discontinued brands held under the main trading entities, being Are Media Pty Ltd and Are Media Limited (NZ) as Management has confirmed that any such amounts would be immaterial.

Other considerations

8. *Discontinued brands:*

Discontinued brands adjustment

$000	Notes	As at Dec-24	As at May-25	Averages Dec-24	Averages LTM25
Wheels Media NWC (excluding intercompany GST) (1)	i.	(55)	(36)	607	118
Hard to Find Pty Ltd NWC	i.	372	38	190	255
Other discontinued brands NWC	ii.	n.q	n.q	n.q	n.q
Total discontinued brands	7	**317**	**3**	**797**	**373**

Note (1): Reflects Wheels Media reported NWC, excluding GST liabilities.

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

9. ***Aged debtors:*** There are a small number of debtors ($157k at May-25) aged +90 days which have been passed through to a debt collection agency. This represents less than 2% of total trade and other receivables as at May-25. This has been presented for your consideration, however, Management expect to recover the majority of these balances.

10. ***Long service leave under-provision:*** during the course of the FY24 audit, the auditors identified an unadjusted misstatement relating to the under provision of long service leave ($1.2 million), primarily driven by the following;

- Are Media assumed a 2% inflationary increase to wages in its long service leave calculation; however, the auditors applied an inflation rate of 2.4% in line with CPI;
- Management applied a flat discount rate based on the 10-year bond rate in determining the present value of future obligations, while the auditors applied the applicable bond rate to each year; and
- The probability factors used to determine when staff will reach the LSL entitlement varied slightly between Are Media and the auditors.
- The $0.3 million balance at Dec-24 and May-25 reflects the weighted average unvested position of the auditors proposed under accrual (calculated as at Dec-24). We recommend that potential investors receive an update on the final quantification of the balance during confirmatory due diligence.

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Net cash / (debt) (1)

Reported net cash of $15.9 million as at May-25 comprised cash and cash equivalents of $13.6 million and an income tax receivable of $2.3 million. We have identified $2.9 million of debt-like adjustments to reported net cash which results in an adjusted net cash position of $13.0 million as at May-25. Certain other matters have also been identified for your consideration.

Adjusted net cash / (debt)			
$000	Notes	Dec-24	May-25
Reported net cash / (debt)			
Cash and cash equivalents		18,484	13,620
Income tax		1,643	2,292
Intercompany		(4)	(5)
Net cash / (debt)		**20,122**	**15,907**
Reclassifications from NWC			
Capex creditors	1	(324)	(255)
Excess annual leave	1	(671)	(602)
Vested long service leave	1	(1,983)	(2,015)
Reclassifications from NWC		**(2,977)**	**(2,872)**
Adjusted net cash / (debt)		**17,145**	**13,035**
Other considerations			
Share buy-back or dividends	2	n.q.	n.q.
Committed capex	3	-	(800)
Long service leave liability under-provision	4	(874)	(874)
Non-current provisions	5	(1,503)	(1,503)

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD, 02.05.03 WIP – Jan 2023 to May 2025, 02.01.02.08 Consol Balance Sheet – Ex Dec adjustments – FY24; 02.06 Employee costs; Management information; KPMG analysis

Net cash / (debt)

Adjustments to net (debt) / cash

1. ***Reclassifications from NWC:*** see net working capital section for further details. The debt-like items relating to excess annual leave and vested long service leave reflect the tax effected amounts (i.e. reported x 70%). Given Management recalculated annual leave and long-service leave liabilities quarterly, this balance reflects the detailed Mar-25 calculation, and will be trued up in Jun-25.

Other considerations

2. ***Share buy-back or dividends:*** to the extent there are any share buy-backs or dividends declared but unpaid prior to completion this will be for the account of the vendor.
3. ***Committed capex:*** Management has identified $0.8 million of committed capex relating to a number of software upgrades which will be rolled out across FY25. This is not considered as debt-like. See Appendices for a breakdown.
4. ***Long service leave under-provision (vested):*** as discussed in the other considerations for net working capital, during the FY24 audit, the auditors determined that long service leave accruals were understated by $1.2 million, and Management has not adjusted for this. The balance opposite reflects the weighted averaged vested portion. We recommend that potential investors receive an update on the final quantification of the balance during confirmatory due diligence.

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Net cash / (debt) (2)

Net cash / (debt)

Other considerations

5. ***Non-current provisions:*** included within fixed assets & other are a number of non-current provisions, which are presented below for your consideration;
   - *Rent dispute ($0.5 million at May-25):* contingent liability relating to an outstanding invoice for rent to Jones Lang Lasalle ('JJL'), the landlords agent. This arose due to a dispute surrounding unfinished works at the head office building. This amount has been in dispute since FY22 and Management do not believe that this liability will be paid.
   - *Provision for litigation ($0.2 million at May-25):* reflects a general provision held against future potential legal cases. Management has confirmed there are no open cases as at May-25.
   - *General provision ($0.4 million at May-25):* Are Media has provided for potential unpaid superannuation on leave loading for employees who are captured by the AMJA awards. While Are Media's treatment is in line with the court's interpretation, this differs to the ATO interpretation. This provision is assessed annually. This has remained flat at $0.4 million since Jan-24.
   - *Reclass contingent liabilities at year end ($0.4 million at May-25):* reflects a make-good provision on the Group's current warehouse in Moorebank, Sydney. Whilst there has been a claim made against this make good, given Are Media still has a current lease and occupies the premises, Management believe that this typical liability will only be payable if or when they vacate. The current lease ends in Feb-30.

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Inventory (1)

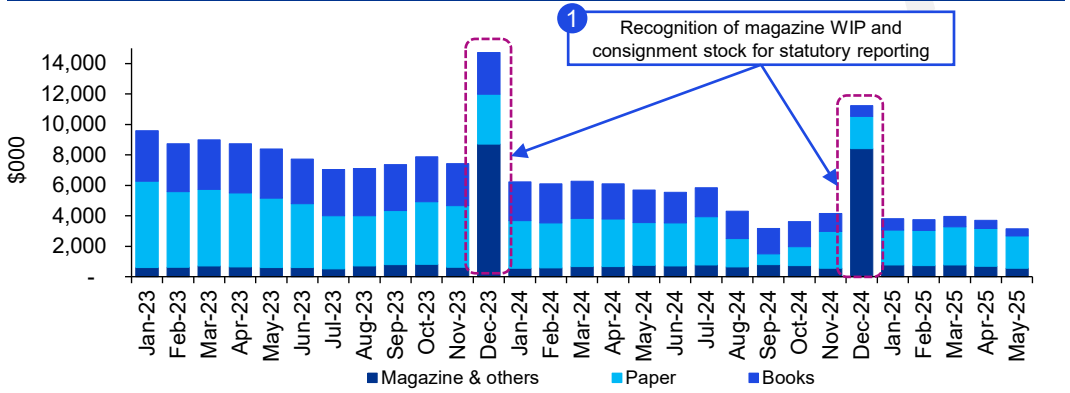
Inventory primarily consists of raw material paper stock, books (WIP and finished goods) and magazine stock, with the latter recognised at year-end only as part of IFRS15 adjustments. Average stock levels have decreased throughout the historical period in line with reducing print circulation trading, accelerated by a strategic scale down in the Books division.

Inventories

$000	As at Dec-23	As at Dec-24	As at May-25	Average Dec-23	Average Dec-24	Average May-25
Paper	3,258	2,112	2,109	4,246	2,459	2,169
Magazine & others (1)	8,718	8,407	565	1,330	1,317	1,342
Books	2,740	722	481	3,061	1,910	1,175
Inventories	**14,716**	**11,241**	**3,155**	**8,637**	**5,687**	**4,686**
DIO						
Paper	55	43	59	72	55	54
Books	268	214	144	365	214	144

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; 02.01.01.01 Management Accounts - P&L - FY23; 02.01.02.01 Management Accounts - P&L - FY24; 02.01.03.03 Management Accounts - P&L - FY25 May YTD

Inventory by type monthly Jan-23 to May-25



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

Inventory

Inventory overview

Paper inventory is managed via the Group's internal WMS inventory system ('Oasis'). This system tracks and monitors paper usage and stock balances and feeds into the Group's ERP system ('Peoplesoft').

Management currently use Microsoft Excel to track books and TheMarketHub inventory. A dedicated WMS system for TheMarketHub inventory tracking is intended to be rolled out from FY25F onwards.

Printer inventory is held in the printer's nominated warehouse and physical stock takes are performed annually, usually in December when they are attended by the auditors.

The components of inventory are discussed in detail below and overleaf.

Magazines & others

- *MarketHub stock:* finished goods MarketHub stock on hand ($0.9 million at May-25), offset to an extent by an associated stock write-off provision ($0.4 million at May-25).
- *Statutory adjustment:* at Dec-23 and Dec-24, an adjustment is posted in line with IFRS 15 to recognise magazine stock held in the Are Direct warehouses, as well as unsold consignment stock held at retailers as at 31 December. Under IFRS 15, this inventory is valued at the lower of cost and net realisable value and is deemed to be owned and controlled by Are Media. We note that unsold consignment stock is destroyed by the retailer and is not physically returned to Are Media.

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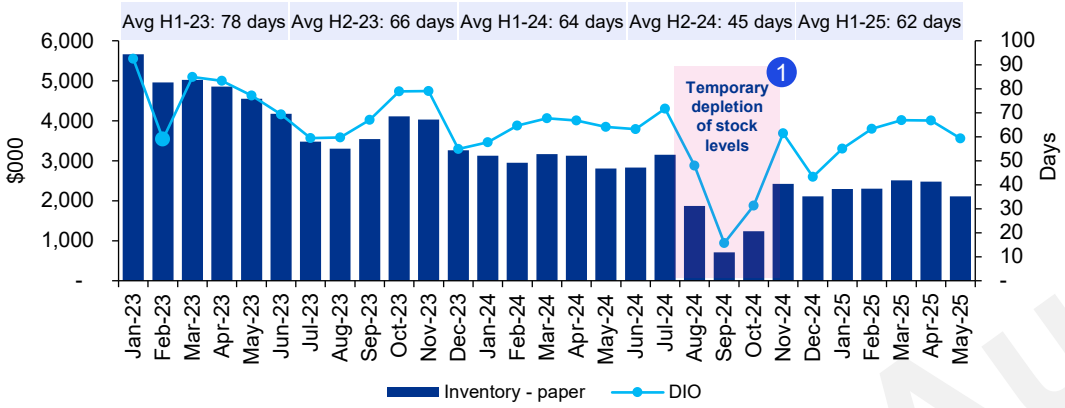
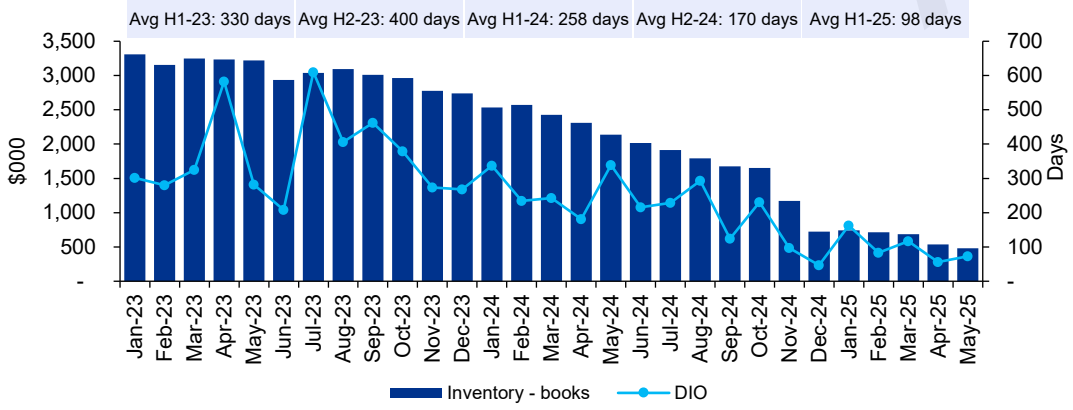
Inventory (2)

Monthly inventory and DIO – paper



Monthly inventory and DIO – Books



Source (al): 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD; 02.01.01.01 Management Accounts - P&L - FY23; 02.01.02.01 Management Accounts - P&L - FY24; 02.01.03.03 Management Accounts - P&L - FY25 May YTD

Inventory

Paper

Paper is primarily sourced from UPM and Norske. There are c.40 different types of paper ordered regularly for magazine titles, and each magazine uses c.2 types. The Group aims to hold c.8 weeks of paper stock on hand and inventory is held in the printer's nominated warehouse.

Management advised that paper used by the Group typically has an extended life as the types used by Are Media do not discolour. Even if a title is discontinued or paper specifications for a brand change, paper already on hand can be repurposed through (i) use in a one-shot issue, (ii) use for special inserts in existing publications, or (iii) sale to small printers (at cost or at a small profit). Therefore, a minimal provision for stock obsolescence for stock >3 years is held ($44k provision at May-25). There have been no significant write-offs of paper inventory over the historical period and at May-25, c.97% of the inventory is aged less than 1 year.

1 The Group manages paper stock levels via Oasis. During Sep-24 to Oct-24, temporary post-integration system issues arose which restricted visibility of paper levels. As such, paper levels depleted during this period as highlighted in the graph opposite. This has been normalised in the Adjusted net working capital analysis.

Books

Comprises WIP and finished goods books, offset by a provision for obsolete stock. Books tend to age with the style and photography used and as result the level of stock write-off can be significant (c.50% of finished goods stock at Dec-24 and May-25 were provided for). These books are typically written down and subsequently sold to discounter retailers for on-sale.

During FY24, Management made the strategic decision to scale down the books division, as evidenced from the downward trend in inventory levels in the graph opposite. Books inventory levels have been normalised to align with the L6M average as part of the Adjusted net working capital analysis.

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Trade and other receivables (1)

Are Media's trade and other receivables largely relate to retailers (primarily supermarkets & newsagents) and advertisers (both direct and advertising agencies). At May-25, 96% of retailer debtors and 75% of advertising debtors were aged as future, meaning invoices were issued but balances were not yet due for payment. Management adopts strict controls around debtor collections and has had no significant bad debt issues over the historical period.

Trade and other receivables

	As at			Average		
$000	Dec-23	Dec-24	May-25	Dec-23	Dec-24	May-25
Retailers						
Retailers	25,237	20,917	20,726	29,208	21,235	19,888
Circulation (Are Direct)	(4)	40	6,768	8,563	8,085	7,521
Returns provision	(24,673)	(18,925)	(27,244)	(43,655)	(36,421)	(30,559)
Total retailers	**560**	**2,032**	**249**	**(5,884)**	**(7,100)**	**(3,151)**
Advertising & miscellaneous						
Advertising	(1) 36,242	9,021	8,595	(1) 35,234	22,325	11,171
Miscellaneous	(25,062)	311	417	(24,621)	(12,002)	(1,686)
Advertising prov. for doubtful debts	(1,457)	(1,452)	(1,381)	(1,137)	(1,494)	(1,456)
Total advertising & misc.	**9,724**	**7,881**	**7,631**	**9,477**	**8,828**	**8,028**
Others	2,660	1,187	1,285	1,918	2,293	1,848
Trade and other receivables	**12,944**	**11,100**	**9,165**	**5,511**	**4,021**	**6,726**

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

(1) The Wheels Media entity incorrectly allocated amounts across both advertising and miscellaneous accounts from Jan-23 to Jun-24.

Trade and other receivables

Retailers: reflects the gross amount receivable from retailers, including amounts related to both Are Media titles and those distributed by Are Direct on behalf of third-party publishers. Are Direct initially invoices non-consignment retailers for the full value of magazines distributed (less retailers commissions), at which point a gross debtor balance is recognised.

This is offset by a returns provision which accounts for the fact not all copies distributed will be sold, therefore the net balance payable by the retailer to Are Direct will be lower. This is initially provided for based on L3M average return rates. In the following period, the retailer can claim cash back for these returns. A final true up is performed at the end of the on-sale period for the specific issue. Consignment customers (Coles and Woolworths) are charged for issues sold, based on weekly till scanning information. See further analysis of this balance overleaf.

Circulation (Are Direct): reflects an accrual for circulation revenue for reporting issues that are not yet received from Are Direct. This amount is eliminated at year-end when statutory cut off is applied.

Retail returns provision: Cash for all issues delivered is collected from retailers, who can later claim a refund for any unsold issues. This returns provision provides for returns and claims for all issues on sale. It is calculated monthly based on the average sell through reports, which are based on the magazines issue frequency. The Group typically collects the cash from retailers in the first month (reducing the trade receivable) but given retailers can claim returns for up to three months, a provision remains and therefore in a given month the returns provision can exceed the retailer's debtor balance.

Advertising & miscellaneous: advertising relates to amounts owed from advertising agencies and direct advertising customers. See further analysis overleaf. Miscellaneous debtors comprises amounts owing from the syndication revenue stream.

Others: primarily comprises amounts owing from programmatic and affiliate revenue streams, and credit card subscriptions.

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Trade and other receivables (2) - retailers

Retail trade debtors ageing - May-25

$000	Future	0-30 days	31 - 60 Days	61- 90 Days	90+	Total	% of total
Woolworths Group Limited	2,998	4	7	6	1	3,015	*14.4%*
Coles Supermarkets (VIC)	685	38	38	40	-	801	*3.8%*
WH Smith Australia Pty Ltd	400	-	-	-	-	400	*1.9%*
Lagardere/AWPL Pty Ltd	360	-	-	-	-	360	*1.7%*
Drake Foodmarkets	134	77	11	7	3	231	*1.1%*
Ritchies Stores Pty Ltd	89	-	-	-	-	89	*0.4%*
Bunnings Group Limited	83	-	-	-	-	83	*0.4%*
Logistico Pty Ltd	78	(0)	-	-	-	78	*0.4%*
National Distribution Services	62	-	-	-	-	62	*0.3%*
Jayarbee Holdings Pty Ltd	28	26	-	-	-	53	*0.3%*
Top 10 retail trade debtors	**4,915**	**144**	**55**	**53**	**4**	**5,172**	***24.7%***
Other	15,165	549	23	(42)	39	15,734	*75.3%*
Total trade retail debtors (1)	**20,080**	**694**	**78**	**11**	**42**	**20,906**	***100.0%***
KPIs							
Top 10 debtors as a % of total	*23.5%*	*0.7%*	*0.3%*	*0.3%*	*0.0%*	*24.7%*	
Total Pay On Scan unallocated amount						(180)	
Total trade retail debtors per balance sheet						**20,726**	

Source: 02.04.01.02.03 Aged Debtors Are Direct AU May-25; 02.04.01.02.04 Aged Debtors Are Direct NZ May-25

(1) Reflects invoices which have been issued but that are not yet due for payment

Trade debtors retailers

Standard terms: typical terms range from 7 days from date of invoice to 20 days EOM. Management do not regularly track retailer DSO metrics. Given this balance reflects amounts relating to both Are Media titles and those distributed on behalf of external publishers, and these are not tracked separately monthly, it is not possible to calculate a countback DSO based on Are Media circulation revenue (which accounts for only Are Media publications). As a result, any DSO metric would not be reflective of actual terms.

Instead, debtor aging is assessed by analysing individual invoices per debtor, and calculating the number of days outstanding based on the difference between each invoice date and the reporting date. If there are any debtors who are aged greater than 60 days, their deliveries are simply paused/cut-off. As a result, there are no material concerns as to ageing. As shown in the table opposite, 99% of debtors are aged < 60 days. With the exception of a $0.1 million write off in FY24 driven by a customer entering administration, there were no significant bad debt write offs over the historical period.

Having moved to a consignment model in Feb-24, Coles' debtor terms [redacted]. In New Zealand, Whitcoulls and Relay also moved to consignment [redacted]. This, coupled with the general trend of falling retail volumes, drove the reduction in debtor levels over the historical period.

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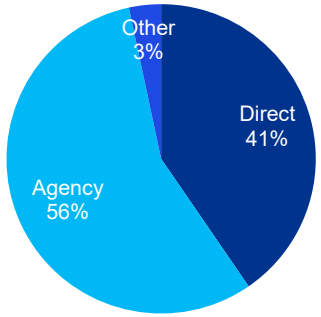
Trade and other receivables (3) - advertising

Advertising trade debtors ageing - May-25

$000	Future	0-30 days	31 - 60 Days	61- 90 Days	90+	Total	% of total
Generic Publications Pty Ltd	1,057	-	-	-	-	1,057	*12.3%*
Essencemediacom Australia Pty Ltd (QLD)	275	148	34	0	-	458	*5.3%*
Penguin Random House Australia Pty Ltd	351	92	-	-	-	443	*5.2%*
Omnicom Media Group(Australia) Pty Ltd	265	7	0	-	-	272	*3.2%*
Carat Australia Media Services Pty Ltd	266	1	-	-	-	267	*3.1%*
Wavemaker Australia Pty Ltd	171	10	15	0	1 59	256	*3.0%*
Humann Communications Group Pty Ltd	248	-	-	-	-	248	*2.9%*
Bohemia Group P/L	242	-	-	-	-	242	*2.8%*
Spark Foundry	170	12	14	(1)	(13)	182	*2.1%*
Nunn Media Pty Ltd	159	-	-	-	-	159	*1.8%*
Top 10 advertising trade debtors	**3,205**	**271**	**63**	**(1)**	**46**	**3,583**	***41.7%***
Other	3,192	1,227	332	104	158	5,013	*58.3%*
Total advertising trade debtors	**6,396**	**1,498**	**394**	**104**	**203**	**8,595**	***100.0%***
KPIs							
Top 10 debtors as a % of total	*37.3%*	*3.1%*	*0.7%*	*(0.0)%*	*0.5%*	*41.7%*	

Source: 02.04.01.02.05 Aged Debtors Are Media AU May-25; 02.04.01.02.06 Aged Debtors Are Media NZ May-25

Direct v agency advertising customers - May-25



Trade debtors advertising

Standard terms: standard AU credit terms are 45 days for agency advertising customers and 30 days for direct advertising customers. Standard NZ terms for advertising customers (both agency and direct) are 20 days following invoice date. Customers are invoiced monthly.

Management track and review weighted DSO monthly, with May-25 levels set out below;

Summary of DSO at May-25		
# days	AU	NZ
Direct	43	45
Agency	26	19

Source: 02.04.01.03.04 AU DSO - May 2025; 02.04.01.03.05 NZ DSO - May 2025

Bad debt provision: Are Media recognises an allowance for Expected Credit Losses ('ECLs') in accordance with IFRS 9. Each month, the probability of loss is calculated across various accounts receivable ageing categories. Balances that are more than 150 days overdue are fully provided for. At year-end, the provision is trued up if considered material. Adjustments may also be made during the year where necessary.

The level of write-offs historically during the period is low. In YTD25, $76k owed from Gorilla, an advertising agency, was written off as the company went into administration. Amounts owed from Coty ($24k) and Uber ($36k) were also deemed unrecoverable, but were fully provided for.

1 Balance aged 90+ days is caused by delays in Wavemaker processing the payment, due to changes in its offshore team. This is expected to be cleared at month-end.

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Trade and other payables (1)

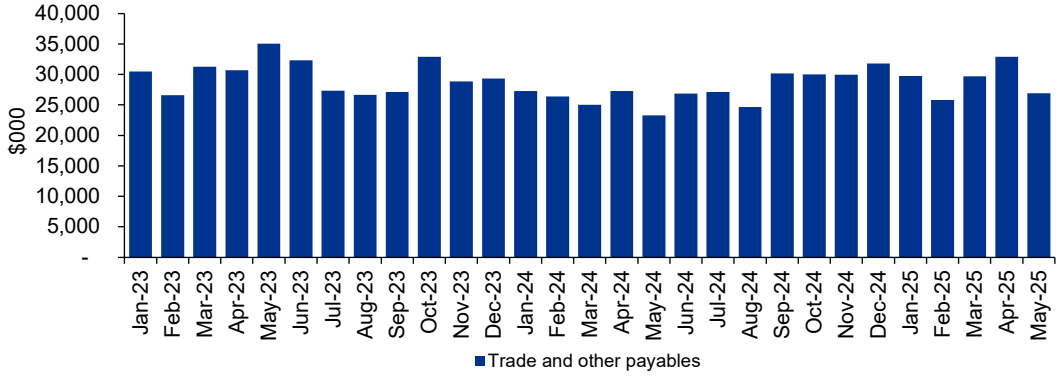
Trade and other payables primarily reflects (i) general accruals, mainly freight, marketing and utilities; (ii) publishers payables which are the net amounts received from retailers on behalf of third-party publishers; and (iii) creditors control for typical suppliers such as paper and printing.

Trade and other payables

$000	Dec-23	Dec-24	May-25
Accruals	(12,143)	(13,367)	(12,853)
Publisher payables	(5,950)	(7,543)	(5,616)
Trade creditors control	(2,515)	(3,826)	(5,145)
Other	(6,161)	(4,347)	(3,293)
Statutory adjustment - expense accrual	(2,550)	(2,733)	-
Trade and other payables	**(29,320)**	**(31,816)**	**(26,907)**

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

Trade and other payables monthly Jan-23 to May-25



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May YTD

Trade and other payables

Accruals: accruals for marketing, freight, utilities, hosting, production and other general accruals. Management conducts a monthly review of accruals at the cost function level (e.g., marketing, production etc.), but does not routinely assess the detailed components of each balance unless exceptions are identified. Management confirmed that there were no non-operating or one-off accruals recognised over the LTM period. Refer to the Appendices for a breakdown of accruals.

Publisher payables: reflects amounts owed to third party publishers. Are Direct holds the relationship with the retailers and invoices them in full for the value of magazines delivered, less the retailers' commission. Are Direct remits the cash (net of a distribution fee) to the publisher for whom they distributed the magazine. Management first transfers a conservative net estimate based on L3M return rates. This is trued up at the end of the on-sale period, typically resulting in Are Media making a final payment to the publisher. This balance reflects the gross amount owed to publishers and is offset by a separate GL which recognises the value of returns credited to the retailer (based on scanning information), which are yet to be claimed by the publisher.

Trade creditors control: captures standard trade payables such as amounts owed for raw material paper and printing. Capex creditors have been removed from normalised net working capital and reclassified to net debt. See further analysis of this balance overleaf.

Other: Other balances comprises amounts owed for GST, FBT, payroll tax, and clearing accounts. $0.3 million at May-25 reflects a supplier finance arrangement with a third party to facilitate payment of insurance in instalments. This attracts interest of 2.79%. We have not sought to exclude this interest from net working capital on the basis of materiality.

Statutory adjustment – expense accrual: during the year-end application of IFRS15, warehouse and in-transit inventory is recognised on the balance sheet, this reflects the accrual for costs associated with the inventory. It also includes recognition of COGS and commission expenses to match revenue which is recognised in December under IFRS15 (but which has been recognised post year end in management accounts).

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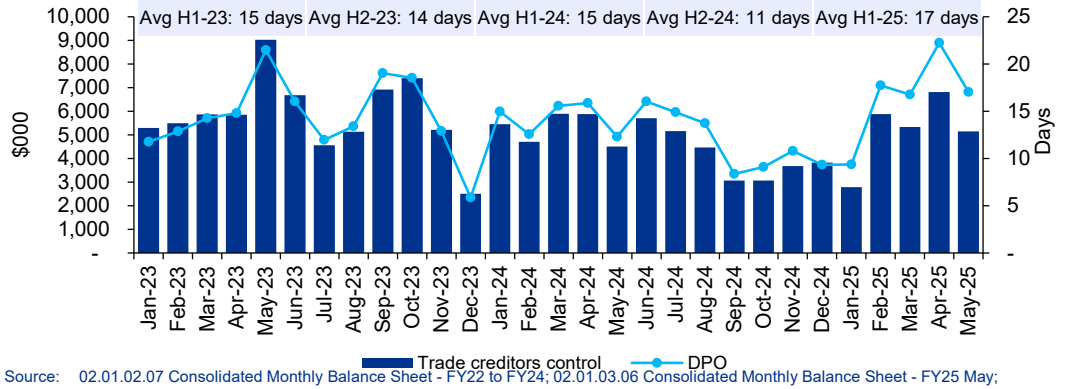
Trade and other payables (2)

Trade creditor control ageing - May-25

$000	0-30 days	31 - 60 Days	61- 90 Days	90+	Total	% of total
UPM	(844)	(122)	-	1 (190)	(1,156)	20.5%
IVE Group Australia Pty Ltd	(520)	-	-	-	(520)	9.2%
Jones Lang Lasalle (NSW) Pty Ltd	-	-	-	2 (509)	(509)	9.0%
Amazon Web Services Australia Pty Ltd	(193)	(200)	-	-	(393)	6.9%
New Zealand Post Ltd	(141)	(152)	-	-	(292)	5.2%
Air New Zealand (Profit Share)	(285)	-	-	-	(285)	5.0%
Goodman Property Services (Aust) Pty Ltd	(196)	-	-	-	(196)	3.5%
Sentify Pty Ltd	-	(175)	-	-	(175)	3.1%
Webstar	(159)	-	-	-	(159)	2.8%
West Australian Newspapers Limited	(158)	-	-	-	(158)	2.8%
Top 10 creditors	**(2,495)**	**(649)**	**-**	**(699)**	**(3,843)**	**68.0%**
Other	(1,487)	(314)	(6)	(4)	(1,811)	32.0%
Trade creditors control as per listing	**(3,982)**	**(963)**	**(6)**	**(703)**	**(5,654)**	**100.0%**
FS reclass to contigent liabilities					509 2	
Trade creditors control as per balance sheet					**(5,145)** 3	

Trade creditors control & DPO monthly Jan-23 to May-25



Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May; 02.04.01.01 Vendor Ageing Reports

Trade and other payables (continued)

Trade creditors control

Creditor terms range between 7 – 60 days, typically 45 days EOM for new vendor set up and 24 days for contributors and freelancers. Any payment terms outside of these general terms are subject to approval.

Key suppliers include:

1. ***UPM:*** the Group's main paper supplier with payment terms of 55 days from date of invoice. Management has confirmed that the amount aged +90 days at May-25 (number 1 opposite) has already been paid, but the payment had not been allocated correctly to the specific creditor in the D365 system.

- ***IVE:*** the Are Media AU printing supplier. Typical payment terms are 45 days from receipt of invoice and Are Media is eligible for a rebate of 8% of the net invoiced amount every six months. Prior to FY25, this rebate was recorded in the P&L upon receipt of the cash (i.e. not accrued), but as of FY25 it is accrued for monthly.

2. ***Jones Lang Lasalle:*** acts as an agent on behalf of Are Media's landlord. Rent is payable immediately upon receipt of invoice. The $0.5 million balance aged 120+ days (number 2 opposite) relates to an ongoing rent dispute since FY22 which arose due to unfinished works. This amount has been reclassed to contingent liabilities at year-end and is noted as an other consideration in net debt.

3. Management has performed a line-by-line review of the trade payable listings and has identified payables related to material capital expenditure which are debt-like in nature, see net working capital analysis.

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Contract liabilities

Deferred income for subscriptions in advance is a feature of the operating model, due to customers typically being invoiced and making upfront payments annually or semi-annually in advance when they sign up for subscriptions.

Contract liabilities			
$000	Dec-23	Dec-24	May-25
Subscription liability			
Subscriptions in advance	(10,942)	(9,204)	(8,546)
Deferred income - Subscriptions	(242)	(138)	(1,223)
Subscriptions in advance - digital	(251)	(175)	(252)
Subscription liability	**(11,436)**	**(9,516)**	**(10,021)**
Deferred income			
Deferred income - Circulation	(1,056)	(350)	(2,251)
Deferred income - Advertising	(322)	(116)	(2,020)
Other deferred income	(1,859)	(709)	(1,440)
Deferred income	**(3,237)**	**(1,176)**	**(5,710)**
Contract liabilities	**(14,673)**	**(10,692)**	**(15,731)**

Subscriptions in advance at May-25					
$000	0 - 12 months	13 - 18 months	19 - 24 months	>24 months	Total
Australian Women's Weekly	(1,576)	(2)	(1)	(0)	(1,579)
Better Homes and Gardens	(996)	(20)	(4)	(2)	(1,023)
Country Style	(867)	(17)	(1)	(0)	(886)
The Listener	(648)	(141)	(88)	(53)	(929)
Gourmet Traveller	(415)	(1)	(0)	(0)	(416)
Australian House and Garden	(366)	(0)	(0)	-	(366)
Home Beautiful	(352)	(3)	(1)	(0)	(356)
Woman's Day	(317)	(66)	(38)	(20)	(442)
Australian Women's Weekly NZ	(278)	(3)	(0)	(0)	(281)
New Idea	(225)	(51)	(31)	(25)	(331)
Top 10 magazines	**(6,040)**	**(305)**	**(164)**	**(101)**	**(6,610)**
Other	(1,553)	(193)	(114)	(76)	(1,937)
Subscriptions in advance	**(7,593)**	**(498)**	**(278)**	**(177)**	**(8,546)**
As a % of total	*88.8%*	*5.8%*	*3.2%*	*2.1%*	*100.0%*

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May, 02.05.02 Subscription Liability Unwinding as at 31 05 2025, 02.05.13 24003 – Subs Liability Unwinding as at 31.05.2025

Contract liabilities

Subscription liability

Subscription customers are typically invoiced annually in advance for monthly issues, or half-yearly for weekly issue brands. The subscription liability is cash-backed, as cash is received upfront, and revenue is released to the P&L in the issue reporting month.

Customers are invoiced throughout the year.

Deferred income

Under management reporting, revenue recognition is based on the month an issue is "reported". As a result, the deferred income accounts (circulation and advertising) capture debtor-backed deferred revenue when the magazine is not yet reporting. This is released to the P&L in the month of issue.

In line with the above approach, the 'Deferred income – Subscriptions' journal included within subscriptions liability is a feature of timing, amounts are released from subscriptions in advance when the magazine is on-sale and held temporarily in deferred income until the issue date.

As part of statutory reporting under IFRS15, an adjustment is made to Dec-23 and Dec-24 to reflect revenue recognition at the time the magazine is sold to the end consumer, as opposed to the on-sale date. The remaining statutory adjusted balances at year-end relate to Books, due to limited information (and audit materiality) they are not adjusted for. May-25 is on a pre-statutory basis.

On a like-for-like basis, the overall decrease in contract liabilities from Dec-23 to Dec-24 is a factor of reducing subscription volumes.

88.8% of the subscription in advance liability balance at May-25 will unwind within 12 months.

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Employee benefits

Employee benefit liabilities comprise holiday pay (annual leave), long service leave and bonuses. Excess annual leave and vested long service leave are considered debt-like and have been excluded from adjusted net working capital. The $1.2 million reduction in liabilities from Dec-23 to Dec-24 reflects efforts to reduce excess leave balances which had accumulate during Covid-19 lockdowns.

Employee benefits			
$000	Dec-23	Dec-24	May-25
Holiday pay	(6,395)	(5,272)	(5,289)
Long service leave	(4,206)	(3,917)	(3,986)
Bonuses	(1,110)	(1,325)	(776)
Reported employee benefits	**(11,711)**	**(10,514)**	**(10,051)**
NWC adjustments			
Excess annual leave		958	860
Vested long service leave		2,833	2,879
Employee benefits true-up		3	22
Adjusted employee benefits		**(6,721)**	**(6,290)**

Source: 02.01.02.07 Consolidated Monthly Balance Sheet - FY22 to FY24; 02.01.03.06 Consolidated Monthly Balance Sheet - FY25 May; 02.06.01.02 Are Media AU - AL & LSL Calculation Dec 2024; 02.06.01.03 Are Media AU - AL & LSL Calculation Mar 2025; 02.06.02.02 Are Media NZ - AL & LSL Calculation Dec 2024; 02.06.02.03 Are Media NZ - AL & LSL Calculation Mar 2025

Employee benefits

- **Holiday pay:** the majority of employees are entitled to 4 weeks annual leave under statutory obligations. However, a number of employees (c.205 at May-25) are captured by the AMJA Journalist Award and as such, are entitled to 6 weeks annual leave each year. Any excess annual leave over statutory obligations is considered debt-like. The step down in leave from Dec-23 to Dec-24 reflects an effort to reduce the level of accumulated leave post COVID-19.
- **Long service leave:** employees are entitled to a number weeks of leave after 10 years of service in NSW, SA, QLD and TAS and after 7 years of service in VIC under statutory obligations. We note that discretionary long service leave is offered to a number of employees who have served more than 10 years of service in NZ (~20 employees).
- On-costs, including workers compensation, payroll tax and superannuation, have been applied based on the weighted average % across all applicable states. Long service leave is reviewed quarterly from FY25 onwards (FY24: half-yearly) but adjusted in the management accounts at year-end. $2.9 million of the total liability at May-25 is vested and has been reallocated to net debt.
- **Bonuses:** The Group has 3 bonus schemes in operation, all of which are accrued monthly and trued up at year-end as part of the audit process. Any unused excess accruals are not carried forward but reversed in the accounts. Bonuses include:
  - Incentive scheme for adverting sales team which is paid quarterly and is based off a mix of individual targets and national/state targets;
  - STI is paid annually in February; and
  - Project based bonuses, which are paid upon completion of the project, at Management's discretion.

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